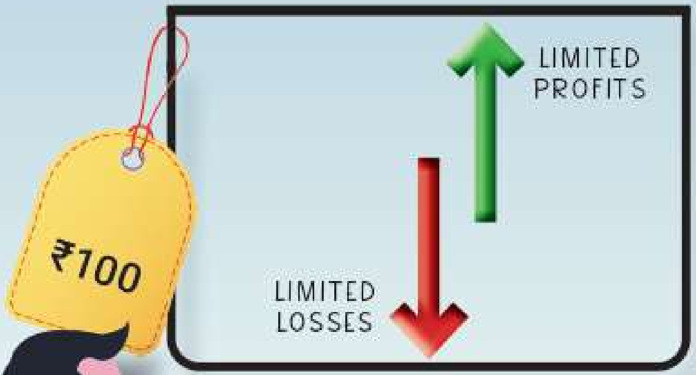
10.8 COLLAR OPTION STRATEGY

Explainer Video

"A COLLAR OPTION STRATEGY IS A TRADING AS WELL AS A HEDGING STRATEGY WHICH INCLUDES BUYING A PROTECTING PUT AND SELLING A COVERED CALL OPTION TOGETHER. THIS IS A STRATEGY WITH LIMITED PROFITS AND LIMITED LOSSES."



This strategy is used when one expects a decrease in price. Here, the upside as well as the downside are limited. The exposure is limited on both sides.

It can also be understood as a combination of both Protective Put and Covered Call Strategy.

The Steps involved in forming a Collar Option Strategy are:

1. Own an Underlying asset (stock/ index)
2. Buy a put option (Strike price below market price i.e., ITM) to provide protection against downside risk.
3. Finance put option premium by selling a call option (Strike Price above the Market Price i.e. OTM)